

Pattern 3 **DOUBLE BOTTOM**

'Double Bottom' is yet another chart pattern that is formed when two downward moves meet the same support and then rebound. On the upper end, they face similar resistance and at the lower end, they will form two equal bottoms.

The first curve goes down, makes a bottom and reverts to meet resistance. Then it repeats the same. Under some circumstances, it can even repeat the same once more and form triple bottoms. Once it comes back to the resistance line, the bulls try to overpower the bears and if they can get a breakout, the same is expected to continue. This breakout is a long signal for a trader. Trades can be taken based on such breakout. Like the other patterns, double bottoms to exhibit multiple types. All of them work in the same manner.

These are the multiple types of double bottoms. We see that the inverse double bottom is also called double top.

